

Chapter 10. The Investor and His Advisers

1. The examinations are given by the Institute of Chartered Financial Analysts, which is an arm of the Financial Analysts Federation. The latter now embraces constituent societies with over 50,000 members.

2. The NYSE had imposed some drastic rules of valuation (known as “haircuts”) designed to minimize this danger, but apparently they did not help sufficiently.

3. New offerings may now be sold only by means of a prospectus prepared under the rules of the Securities and Exchange Commission. This document must disclose all the pertinent facts about the issue and issuer, and it is fully adequate to inform the as to the exact nature of the security offered him. But the very copiousness of the data required usually makes the prospectus of prohibitive length. It is generally agreed that only a small percentage of buying new issues read the prospectus with thoroughness. Thus they are still acting mainly not on their own judgment but on that of the house selling them the security or on the recommendation of the individual salesman or account executive.